

Meesho's other concern is its low average order value (AOV) of ₹300-400 compared to peers. The 'average' AOV in Indian e-commerce is ₹800 (less than \$10), according to a report by AllianceBernstein. Meesho's is less than average due to its high sales among low-income customers. Its GMV stood at \$5 billion in June 2022, which is also significantly lower than Flipkart's \$23 billion, and Amazon's \$18-20 billion, as estimated by AllianceBernstein. "A price-sensitive customer is hardly loyal to any single platform," says Technopak's Bisen.

If Meesho has to break the Flipkart-Amazon duopoly in India and become profitable at the same time, it must devise new strategies. "How to make money is no longer just a strategic question. Today, it involves politics, policy, and tech. In a free market, Meesho could do an inventory model, push its own labels, charge a service fee from

fillip to hyperlocal businesses. "ONDC will also play an important role in expanding India's e-commerce sector by bringing more consumers online," he says.

Some sector analysts reckon Meesho must now look at solving the logistics quandary and bring down dependence on third-party players. "Meesho has been solving for reach in the last two to three years and for people who have never purchased online. But reach is a capital-intensive problem," says Sanjay Kothari, Associate Partner at RedSeer Strategy Consultants. "The next problem to attack would be logistics and the high rate of returns. Meesho could start charging for logistics from sellers to build an indirect revenue model even as the ad business becomes a large contributor," he explains.

But is all this enough to attain profitability? Questions have been asked of Meesho's P&L and its 'growth-

PLATFORM KING

Meesho is India's third-largest online marketplace in terms of total value of products sold annually

FLIPKART

\$23
BILLION

AMAZON

\$18-20
BILLION

MEESHO

\$5
BILLION

BIGBASKET

\$1.6
BILLION

TOP E-COMMERCE MARKETPLACES BY GMV; **SOURCE** ALLIANCEBERNSTEIN (REPORT DATED JUNE 2022)

vendors, create loyalty programmes for customers, etc. But in an environment of regulatory uncertainty, you could start monetising in a certain way and tomorrow it could be deemed illegal," says Bisen.

Then, what are Meesho's options? It has started experimenting with financial services to meet the working capital needs of its sellers who may not be eligible for formal credit. "Financial services fall fairly and squarely into the things that we can do to increase monetisation. We've seen some successful examples as well. Alibaba had Ant Financial, which emerged from its commerce business," says CFO Bansal. "We want to ensure availability of credit, so that our existing sellers can grow their businesses on Meesho."

To increase its reach, Meesho joined the government's Open Network for Digital Commerce (ONDC) in November. Aatrey believes this integration will fuel the discoverability of products for consumers, while also giving a

at-all-costs' mentality. This is, of course, more systemic than specific in hyper-funded start-ups.

SoftBank believes Meesho is better placed than a lot of "upstarts". "Given the strength of the balance sheet, it gives them a runway of more than two years. They will be profitable before that," says Misra.

But can any new-age company surrender rapid growth at the altar of profitability? Aatrey says one can't choose one over the other. "If you become profitable and are not growing, then why would the investor back you? They would rather go for an old-economy company that is growing at least 20 per cent YoY [year-on-year] and is still profitable," he says. "We'd rather grow somewhere around 50-70 per cent, with profits."

Can Meesho then become India's Pinduoduo? Well, time will tell. **BT**

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